Tutorial 2 – The Need for IS: The Case of Netflix

Objective

To examine the strategic role of information systems in business transformation through the case of Netflix, focusing on how IS supports key business objectives, enables process and model change, and operates across different organizational dimensions and management levels.

Duration

1 – 1.5 hours

Activity Instructions

1. Read Article (15 minutes)

- Students should read the article: Case Study: Netflix's Transition from DVD Rental to Streaming highlight key points about Netflix's business model, business processes, and the role of IS.

2. Group Discussion (30 minutes)
In groups of 4–5, discuss the following questions:

a. How did Netflix define its business model and business processes across the three phases, and what role did information systems play in enabling those changes?

Business Phase	Business Model	Business Processes	Role of IS
Phase 1: DVD Rental (1997–2006)			
Phase 2: Streaming Platform (2007–2012)			
Phase 3: Original Content & Global Expansion (2013–present)			

b. Why did Netflix need to adopt new information systems?

Hint: Please choose 2–3 strategic objectives from the list below that you think are most relevant to Netflix's transformation. For each one, explain why it was important and provide examples based on the case study.

- Operational excellence
- New products, services, and business models
- Customer & Supplier Intimacy
- Improved Decision Making

- Competitive Advantage
- Survival

Transformation	Reason for Transformation (Why)	Strategic Purpose (Goal)	Transformation Actions (What Netflix Did)
1st Transformation: From DVD Rental to Streaming			
2nd Transformation: From Streaming to Original Content & Global Expansion			

c. What types of information systems are likely involved in Netflix's operations? Provide examples.

- TPS
- MIS
- DSS
- ESS

3. Individual Submission (Post-Class)
    1. Each student must individually submit answers to the questions in a **PDF file of no more than two pages**, named: T2_<full-name>.pdf(e.g., T2_xiaoming.pdf).
    2. Students must submit their work **before the next tutorial** to receive the **full score**.
    3. **Late submissions will receive only half the score. Submission later than 2 weeks will not receive any score.**

Quick Reading Aid:

Background

Founded in 1997, Netflix initially operated as a DVD rental-by-mail company. Over time, facing the decline of physical media and the rise of digital consumption, Netflix recognized the need to evolve. The company began investing in technologies that allowed it to explore online streaming, starting with research and data analysis around consumer viewing behaviors. Netflix's leadership adopted a data-centric philosophy early on, believing that user behavior data could guide decision-making, improve customer experience, and support business scalability. This forward-looking approach laid the foundation for a significant transformation—from a logistics-centered DVD rental service to a fully digital, customer-driven platform.

Overview

Netflix's transformation occurred in three main phases:

1. **DVD Rental Phase (1997–2006)**: Physical DVD rental; growth limited by physical delivery capacity.

2. **Streaming Platform Phase (2007–2012)**: Shift to subscription-based streaming; investment in recommendation algorithms; platform expanded to multiple devices and regions.

3. **Original Content & Data-Driven Decisions (2013–present)**: Netflix began producing original shows, like *House of Cards*, using predictive analytics based on user data. Global expansion accelerated with localized interfaces and personalization systems.

Throughout these phases, Netflix consistently used technology and information systems to enhance service delivery, understand users better, and make faster, data-informed business decisions.